US Economic Perspectives

Warsh: AI structurally disinflationary

Economics

Americas

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"Do I believe that the productivity improvement over time will be structurally disinflationary? I do." — Chairman Kevin Warsh, July 15, 2026

Chairman Warsh lays out view of AI; FOMC speakers inflation vigilance

Today's testimony was periodically tense, particularly amidst questions over conflicts of interest concerning both Chairman Warsh's financial disclosures and Governor Bowman's recent appearance at a closed door event at a bank during the FOMC quiet period. However, the most policy relevant part of Warsh's testimony were his most detailed thoughts yet on the productivity gains to come from AI, which he said he thought would be disinflationary.

Warsh's comments come alongside other FOMC speakers today. All expressed a certain amount of vigilance over too-high inflation. Governor Cook said she was prepared to act if she did not see disinflation soon. FRB of New York Williams noted the risks but said he thought the current stance of policy could return inflation to target.

Warsh said AI likely to be structurally disinflationary in his view

In his second day of testimony Chairman Warsh repeated his view that AI likely represents regime shift higher in structural productivity growth and expansion of the supply side of the economy, building on his remarks before the House yesterday which we covered here. However, today he offered further thoughts on AI's inflationary impact. He downplayed the near-term inflation as a price level shift, and not necessarily inflationary, but touted the potential longer-term disinflationary impact. We have been writing since before he was Chairman that this was a theme we thought he would embrace. In his answer to Senator Warner (D-VA):

"I am more confident that there will be a surge in output because the US is at the cutting edge of AI than any certainty about the effect on the labor market in the next few years. The United States will be a winner. That is my, my informed judgment. But this is a time filled with both challenges and risks. We take both parts of our dual mandate seriously. Do I believe that the productivity improvement over time will be structurally disinflationary? I do, I believe everything technology touches ultimately gets cheaper."

Below is his exchange with Senator Reed:

Sen. Jack Reed (D-RI): *"Well, let me change to, stay with AI, but change the focus for a moment. Uh, recently, Governor Waller and New York Fed President John Williams have warned that AI investments may be increasing inflation, and many economists have similar warnings. So are AI investments current drivers of inflation?"*

Warsh: *"Um, this is one of the good family fights. Let me give my own view on it, which might be somewhat nuanced from the way you just described it and some of my colleagues. The shock of AI, the supply shock of AI has an effect on demand and supply. We see the effect on demand much more quickly. We see it in the capital investment I referenced, we see it in the prices of chips that are going up. We're inferring, which is just a fancy word for guessing, when the effects will happen on the supply side of the economy. I don't view a one-time change in prices as necessarily being inflationary because I think there's a supply response. In that way, this is different from a foreign conflict and what it might do, which tends to reduce the supply side of the economy. Will it increase measured prices over the course of the next 12 months? I suspect it will be. But whether that's inflationary or not, that's up to the Federal Reserve. And we're* *going to have something to say about that.*"

These answers are quite consistent with the op-ed Warsh wrote in the Wall Street Journal last November. Putting the two days of testimony together, Warsh appears quite optimistic about the potential for meaningful productivity gains from AI, and he expects those gains to be disinflationary. Referring to the near-term risks of inflation from the AI build out as pushing up "measured prices" but potentially not being inflationary appears to push back against those who argue otherwise. More than once he also differentiated between the price pressures caused by AI and other shocks, because the AI related price increases will be accompanied by a supply-side response: "*I think that investment in data centers and in AI generally do affect the demand side of the economy. And we can see it and we can see prices move up. But unlike some of these other shocks with a lag, it also affects the supply side.*"

In a response to Senator Andy Kim (D-NJ), Chairman Warsh said that AI's productivity gains would help the FOMC achieve parts of the dual mandate (maximum employment and price stability).

"*If I were to fast forward 12 months, whether these AI models continue to grow in their efficacy on some exponential curve or not, most of this capex is going into things like data centers, new sources of energy. And let's say there was a disappointment on the returns on what AI could do. Many of these investments have alternative uses, but if the if the question is really how much productivity do we expect to ultimately get from AI, the answer is, I don't know, but I'm optimistic that over a longer time horizon, it'll be quite good for the United States and good for both parts of the dual mandate — lower prices and a stronger labor force.*"

He is clearly optimistic about AI's impact; in his view it is likely in the longer term to help to lower inflation and achieve price stability. He also discussed risks to the economy from the investment faltering and other topics related to AI, like the labor market impact. However, today was his clearest exposition since becoming Chair of his belief in the disinflationary effects of the AI build out and investment.

Not a monetarist and do not listen to any one view

Asked about the hawkish speech of Governor Waller (which was not necessarily hawkish but just a reaction to inflation still going up … it is hard to think a central banker trying to contain inflation is necessarily hawkish), Chairman Warsh seemed relatively dismissive:

Tillis: "*And based on some of the comments from even, uh, Governor Waller, who we consider to be, you know, pretty hawkish just this week, he's not guaranteeing that we're going to be able to lower interest rates anytime soon based on data-driven decisions. Did that just occur this week, in a speech, I think, up in New York?*"

Warsh: "*There are a diversity of views. I wouldn't want to dwell on any one of them in particular.*"

In other exchanges, Warsh said that he did not arrive as a monetarist. He said monetary aggregates might be worth looking at because he wants to see a "mosaic." He also continued to defend his independence from the executive branch.

Other participants sound off on AI

Other Fed officials this week emphasized that the economic benefits of AI will depend on how adoption is managed. FRB of New York President Williams said monetary policy remains well positioned to bring inflation back to 2 percent and noted that AI-driven investment should boost productivity over time, although it is also creating near-term supply-demand imbalances. Governor Barr highlighted that AI could either narrow or widen inequality depending on whether productivity gains are broadly shared across workers and firms or not. Meanwhile, Vice Chair for Supervision Bowman argued that regulators should support responsible AI adoption in banking through clear expectations and flexible oversight, rather than overly prescriptive rules. See our Daily Data Recap here for more details.

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